

Airbnb (NASDAQ: ABNB) — SHORT: growth borrowed from a product bundle, priced as demand

Draft v2 for team review · 16 September 2026 · Citadel Intercollegiate Stock Pitch Competition (prelim due 2 Oct) · Price as of 16 Sep close

Price: \$167.51 | **Mkt cap:** ~\$100bn (597m diluted) | **Net cash ex-float:** \$9.6bn | **EV / FY27E adj. EBITDA:** 15.7x Street, 19.0x our short case | **Target:** base \$143 (–15%); prob.-weighted \$146 (–13%); short case \$125 | **5 Nov event:** –8% to –13% base-case day | **SI:** 3.4% of float, 2.6 days to cover | **Horizon:** 5 Nov 2026 print to Feb 2027 guide

Recommendation: SHORT ABNB, target \$143 (–15%) over the 5 Nov print and the 4Q26 guide, probability-weighted \$146. The stock is priced for an accelerating 3Q26 nights print and a FY27 in which 2026's growth rate repeats. Our work says 2026's re-acceleration was borrowed: a three-feature product bundle (Reserve Now Pay Later, a cancellation-policy redesign, the single host fee), a 3–4 point FX tailwind and a World Cup booking pull-forward, stacked on a business that was decelerating toward 7%. The pieces anniversary between 3Q26 and 2Q27, the cost base is budgeted for the growth that is lapping, and the first visible test is 5 Nov: a decelerating nights print against a Street bar that assumes acceleration, and a 4Q26 guide below the Street.

What the market is underwriting, and what we see

At \$167.51 the price pays for FY27 revenue growth of +10.4% to +11.5% and nights growth of +8–9% at about 16x FY27 EBITDA. That is the Street's number and, on revenue, close to our own base. The disagreement is not the FY27 level; it is the 3Q26 nights print, the shape of FY27, and what a fixed cost base does when growth halves. On 3Q26 nights the Street's bar is 148.9m (+11.45% vs 2Q26's +10.3%); **all 28 Bloomberg estimates sit at or above the 2Q26 rate, and our read is 146.3m (+9.5%, band 8.5–10.0), below the lowest of them**, while our ADR sits on the consensus mean. The bar is an acceleration for only the fourth time in 16 prints, and it is management's "low double digits" guide carried forward one-for-one after the 2Q26 beat.

The story: a healthy business, a bundle, and the lap

Airbnb was slowing the way large platforms slow: nights +9.5% / +8.7% / +8.5% through 1Q–3Q24, +7.9% / +7.4% in 1H25, North America (29% of nights) at +2%. In August 2025 management launched Reserve Now Pay Later (\$0 at booking, payment due just before the free-cancellation window closes), in October it retired the Strict cancellation policy and added 14-day free cancellation, and from October it began moving hosts to a single 15.5% fee with no guest fee. Each feature converts more browsers into bookers; management tested that the booking lift exceeds the added cancellations by check-in. The stack worked: North America went +2% → +5% (3Q25) → +8% (1Q26); total nights re-accelerated to +8.8% / +9.8% / +9.2% / +10.3% through 2Q26. Management quantified it twice, "over 200 basis points of nights growth" in 4Q25 and "approximately 3 points" in 1Q26, then **gave no figure in 2Q26 and switched to quoting RNPL's share of GBV**. A company that stops quantifying a driver at the peak of its contribution is usually telling you the number has stopped flattering. On top of the bundle, 2Q26 carried the World Cup (management: "the largest event in Airbnb's history"; bookings cluster close to the games; never sized; the quarter was framed as "no single product") and revenue carried +3 and +4 points of FX in 1Q26 and 2Q26. **Strip the bundle, the World Cup bookings and FX out of 2Q26 and the underlying business is a 6–7% grower.** From 3Q26 the pieces come off one by one: US RNPL laps in 3Q26; the global cancellation and fee legs in 4Q26, when revenue FX also steps from +3 to about +1 and then negative; ex-NA RNPL in 1Q27 against a +17.9% comp; the World Cup in 2Q27. The Street runs FY27 flat at +11% every quarter.

	Who was eligible for RNPL	Eligible share of GBV*	RNPL % of GBV	Management's growth attribution
4Q25	US guests, domestic stays, flexible/moderate policies; Oct cancellation redesign	15–18%	~9% (assumed)	"over 200bp of nights, ~300bp of GBV"
1Q26	Global ex BRL/INR/TRY from 17 Feb–4 Mar; US cross-border	25–35%	~20% (disclosed)	"approximately 3 points of nights, 4 of GBV"
2Q26	First full global quarter	45–55%	"over 20%" (disclosed)	None given; share of GBV quoted instead
3Q26E	July: eligible booking types expanded (unnamed)	50–60%	21–25%	5 Nov tell: ≥2.5pt restated weakens us; none or ≤1.5pt supports

*Derived from geography × cancellation-policy mix; Airbnb discloses neither the eligible pool nor active guest accounts. Adoption among those offered RNPL is ~70% in the US. Source: 60-statement RNPL ledger (letters, calls, newsroom, 10-K/10-Q).

A pool that roughly tripled while the share moved from "roughly 20%" to "over 20%" says the product is near its ceiling. That matters because the gross booking lift scales with the *flow* of new RNPL bookings, which has flattened, while cancellations scale with the *stock* of live unpaid bookings reaching their payment deadline, which is still growing; 46–49% of a quarter's excess cancellations arrive from earlier booking cohorts, and reported Nights and Seats Booked subtracts a cancellation in the quarter it occurs. We size the drag honestly at –0.2 to –0.9 points of 3Q26 nights; the level anniversary is two to fifteen times larger. The thesis is the lap; the cancellation tail is what keeps it from being a one-quarter event.

Why nights and the guide, and how we built our numbers

Since 2023 ABNB has been an earnings-day stock, and the prints key off the nights guide, not the reported quarter. 3Q22, 1Q23, 2Q24 and 2Q25 all beat on revenue and EPS and fell 8–13% on nights or lead-time commentary; 4Q24 rose 14% on a nights beat with a revenue

guide below the Street. Since mid-2022, every print that paired a Q4-guide-below-Street with a downgraded nights direction fell on the day (n 5, median -10.9%). Revenue and EPS surprises carry no measurable reaction, and Airbnb has beaten its revenue guide midpoint 19 of 19 times, so the level of a guided quarter is not tradeable. We put the alternative-data work on the two things that move the stock: the 3Q26 nights print and the 4Q26 guide.

Nights. Our 3Q26 read of +9.5% (146.3m, band 8.5–10.0; the pre-alt-data model path of +9.9% is the top of the band) comes from three independent routes that agree. (1) A review-date stays index built from 363 Inside Airbnb review dumps across 123 markets, corrected for the 15–16% of reviews that vanish per year of dump age. It is the first team-built series that beats a naive nights forecast out of sample (walk-forward RMSE 0.68x the naive) and it reads +9.5% to +10.0%; same-listing review volume is -3% to -7% y/y, with all growth from listings under a year old. (2) An external stack of the 12 survivors from 40 ranked and backtested sources, including STR weekly hotel RevPAR (fading from +8.2% in July to +4% by mid-August), NTO I-94 inbound arrivals (0.72x naive), Eurostat, BLS and INE tourism series, and EUROCONTROL daily flights for EMEA, reads +9.2%. (3) Booking pace from 328 calendar snapshots across 34 markets runs flat-to-slightly-up on 2025 and is used as a direction check only. Behind these sit a consumer-relative-strength index across 28 origin countries (US consumer the weakest of the large origins) and 1,159 vintage-stamped consensus rows, so every backtest is point-in-time on two windows.

Revenue and the guide. Airbnb's revenue is converted, not forecast: $\text{revenue}_q = \lambda_{\text{season}} \times [\frac{2}{3} \cdot \text{GBV}_{q-1} + \frac{1}{3} \cdot \text{GBV}_{q-2}]$, with $\lambda_{Q4} = 12.03\%$ and a within-season range of 0.17pp over three years. 3Q26 GBV prints the morning management guides Q4, so the 4Q26 guide is arithmetic on our 3Q26 GBV (nights $\times$ ADR): **an implied midpoint of \$3.05–3.10bn against a Street revenue mean of \$3.16bn**, and a nights bucket that drops from "low double digits" to "high single digits" (our 4Q26 nights +8.1–8.9% vs the Street's +9.9%). 3Q26 revenue itself is a beat on our numbers (\$4,804M vs \$4,744M) on FX and a full RNPL quarter; we say so and do not trade it.

Thesis

- Volume: the lap starts in 3Q26 and compounds through 1H27.** Bundle ~3 points (management), FX +3–4 points on 1H26 revenue, World Cup bookings in 2Q26. US RNPL laps 3Q26, the global cancellation and fee legs 4Q26, ex-NA RNPL 1Q27, the World Cup 2Q27. RNPL-aware FY27 nights are +6.4% (global lap) to +8.2% (NA-only), against the +8–9% the price carries and management's delivered +10%. 1Q27 guides against a +17.9% comp, 2Q27 against +16.5%. The multiple pays +0.4–0.5 EV/EBITDA turns per point of forward growth, so two to three points is about one turn, \$9–13 a share, before any estimate cut.
- Price: geographic mix is a structural drag and the term that has carried ADR is fading.** Reported ADR ran +9.0% and +5.3% in 1H26, of which FX was +3–4 points and an unobserved like-for-like pricing residual +4.4 to +4.9 points, against 2–3.5 points in 2023–25. Underneath, geographic mix is -1.4 to -1.5pp a year: North America, the highest-ADR region, grows +6–8% while LatAm grows +16–20% and APAC +15–17% on paid growth initiatives in emerging markets and nine expansion markets; US inbound is weak (AirDNA international inbound demand -12%, Canada -32%, July 2026, on visa fees, tariffs and the Canadian boycott); India is the fastest origin. Hotels (growing ~3x homes) and Experiences seats dilute a further -0.5pp; bigger homes add back +0.6–0.8pp (measured bedroom elasticity 0.23, not the Street's 1:1). For 3Q26 our ADR is on consensus. The price leg lands from 4Q26, when FX turns, hotel ADR growth has already collapsed to +0.6% (STR, mid-August; CPI lodging 4.9% $\rightarrow$ 3.1%), and the residual has to persist at 1H26 levels for the Street's ADR to hold.
- Costs: budgeted for the growth that is lapping, and management cuts less readily than it spends.** Built from 10-Q component disclosure alone, 3Q26 costs grow 11.5% and the quarter prints 52.4%; management's "margin down slightly vs Q3 2025" means it has chosen to spend about \$97M more, in brand marketing and AI hosting. S&M goes from 19.4% of revenue (FY25) to 21.3% (FY26E) to 21.9–23.5% (FY27E); the Street's 36.5% FY27 margin implies a 43.7% incremental margin that needs the ramp to stop, against our 25–35%. Cash-cost elasticity to revenue is 0.36 and asymmetric: a revenue miss costs 0.35–0.6pp of FY27 margin per point, and the FY26 "at least 35.5%" floor breaks on a 2H26 revenue shortfall of only 0.6–0.9% (\$50–75M). Adjusted EBITDA also excludes \$1.8bn of FY26 SBC (35% of EBITDA); on SBC-adjusted FCF the stock yields ~3%.

Estimates vs consensus

	Street (LSEG 11 Sep / BBG)	Team base	Short case	Short vs Street
3Q26 nights	148.9m, +11.5%	146.3m, +9.5% (model path 146.8m, +9.9%)	145.0m, +8.5%	-2.6%
3Q26 revenue / adj. EBITDA / EPS	\$4,744M / \$2,362M (49.8%) / \$2.85	\$4,804M / \$2,420M (50.4%) / \$2.91	\$4,681M / \$2,290M (48.9%) / \$2.71	-1.3% / -\$72M / -5%
4Q26 revenue (implied guide mid)	\$3,157–3,162M	\$3,178M (\$3,059M)	\$2,966M	-6%
4Q26 adj. EBITDA / margin	\$914M / 28.9%	\$899M / 28.3%	\$700M / 23.6% at budget; \$876M / 29.6% with a \$177M marketing cut	-\$214M / -\$38M
FY26 adj. EBITDA margin (floor 35.5%)	35.6%	35.7%	34.2% at budget; 35.5% with the cut	floor at risk
FY27 revenue	\$15.8bn, +11%	\$15.8bn, +10.9%	\$14.9bn, +4.5%	-6%
FY27 adj. EBITDA / margin / EPS	\$5,766M / 36.5% / \$6.23	\$5,644M / 35.7% / \$5.93	\$4,761M / 31.9% / \$4.58	-\$1.0bn / -4.6pp / -26%

Team base is the line-by-line cost build on the bridge-v3 revenue path; the backtested top-down margin combination (0.47x the Street's h=0 dollar error, better in 14 of 14 quarters) gives 3Q26 \$2,399M / 49.9% and FY27 \$5,483M / 34.6%. Both agree on 2026 and disagree with the Street on 2027, entirely in S&M. Short case: nights +8.5% in 3Q26 then +5 / +4 / +2 / +3 / +4% through 4Q27, ADR ex-FX flat, costs at management's budget.

Scenarios (12 months)

	Thesis breaker (stock up)	Base	Short case ("bonus")
Probability	25%	45%	30%
5 Nov print	Nights $\geq 10.6\%$, "low double digits" reiterated for Q4, bundle figure $\geq 2.5\text{pt}$ restated, FY sentence "approximately 36%"	Nights 9.5–10.0%, Q4 bucket "high single digit", guide \$3.05–3.10bn vs Street \$3.16bn	Nights $\leq 8.5\%$, Q4 guide implies $\leq 7.5\%$, no bundle figure, FY floor at risk
FY27 revenue growth / margin	+12.6% / 36.2% (management delivered)	+8–9.5% / 34.6–35.7%	+4.5% / 31.9%
Day-1 precedent	Accelerating prints: +6.0% mean, n 5 (4Q24 +14.4%, 2Q26 +17.4%)	Day 1: Q4 guide below Street and nights guided lower, –8.0% mean, –10.9% median, n 5. Then: 20-day drift after decelerating prints –8%, sell-side targets cut \$5–7 with a 1–2 month lag, and the Feb 1Q27 guide against a +17.9% comp	Same, plus the floor
Price (joint solve; 16.5x in brackets)	\$180–190 (\$176)	\$138–148 (\$143 at ~7.5% NTM growth; \$150 at 8.6%)	\$115–130 (team bear \$121–137 at 16.5x)
Return from \$167.51	+7% to +13%	–12% to –18%	–22% to –31%

Probability-weighted price $\approx$ \$146 (–13%); at 60/25/15 on the deceleration cases, \$138 (–18%). The base case is two legs: a one-sigma day on 5 Nov (options-implied event sd 9.5%), then the estimate cuts and multiple compression that follow a FY27 growth reset from +11% to +7–8% (about 1.3 turns at +0.4–0.5 turns per point, \$12 a share, plus ~\$300M of FY27 EBITDA at 16x, \$8 a share). The 8–10 Sep fall from \$182 to \$170 did not reprice the event.

Catalysts

- **13 Oct 2026** (15 Sep non-EEA): single-fee migration deadline. Migrating listings display ~15% higher on dateless search; unmodelled EMEA conversion risk into 4Q26.
- **5 Nov 2026 (AMC): 3Q26 print.** Nights sign vs the 148.9m bar; 4Q26 nights bucket and revenue guide; FY26 margin sentence (1pp of the FY sentence = 4.49pp of 4Q26 margin); the 10-Q S&M split; whether the bundle-contribution figure returns; RNPL GBV share; the stated 3Q26 FX integer.
- **~11 Feb 2027: 4Q26 print and 1Q27 guide** against the +17.9% comp. The Q4 print has been positive on day 1 in 6 of 6 observations, so the February leg carries more two-way risk than November.

Risks and mitigants

1. **Management delivers its nights guide, as in 12 of 13 guided prints.** Mitigant: the guide was set 6 Aug with July in hand; every alt-data read through mid-August sits at or below 2Q26's rate. Flip rule: nights $\geq 10.3\%$ with a bundle figure $\geq 2.5\text{pt}$, and we cover.
2. **3Q26 is a revenue and EBITDA beat on our own numbers** (P(EBITDA beat) 0.78). Mitigant: beats carry no measured reaction; six of the eleven 7%+ print moves were down days on beats. We do not pitch the quarter.
3. **The July RNPL eligibility expansion is fresh, unquantified treatment inside the quarter.** Mitigant: it is the one unbounded offset; RNPL share $\geq 25\%$ with nights $\geq 10\%$ is a cut signal.
4. **FX, take rate and a conservative margin sentence.** ± 2.3 points of FY27 growth per one-sigma dollar move; the host-only fee could add 40–50bp of take rate; if "down slightly" is sandbagged, 3Q26 prints 52%. Mitigants: revenue FX is 84% observed for 4Q26; printed take rate vs 18.10% is a paired flip rule; the quarterly margin sentence has been missed more often than beaten (above in 4 of 10).
5. **No crowding, a \$3.4bn buyback, and a +17.4% August print that did not fade.** Mitigant: the August move was an accelerating print meeting a decelerating bar, the configuration we expect to reverse; buyback authorisations have produced abnormal returns indistinguishable from zero and act as a floor on sell-offs, not a catalyst; the pre-registered flip rules above define when we are wrong.

What would take the stock down more than the base

- **The RNPL cancellation tail shows up in the KPI:** a live unpaid book above ~40m nights or a propensity revision above +6pt doubles the drag. Tell: unearned fees y/y $\leq -3\%$ with GBV on plan.
- **The pricing residual mean-reverts:** reported ADR nearer +0.8% than +3%, worth \$46M of revenue per point; plus the EMEA fee-migration reprice and the EU short-term-rental act, both unmodelled and both 4Q26.
- **A visible 4Q26 marketing cut to hold 35.5%** (\$177M, ~35% of Q4 marketing) confirms the fixed-cost mechanism rather than refuting it; FY27 EPS bridge Street \$6.23 $\rightarrow$ costs at budget \$5.93 $\rightarrow$ nights lap on a fixed cost base \$4.66 $\rightarrow$ RNPL overlays \$4.58.

Sources: company letters, calls, 10-K/10-Q; Inside Airbnb; STR, NTTO, Eurostat, BLS, INE, EUROCONTROL; LSEG and Bloomberg consensus (11–12 Sep 2026); options chain (11 Sep); team repository. All backtests point-in-time on two windows (1Q23+, n 14; 1Q24+, n 10). Research draft, not investment advice.